

19STCV01092 19STCV01092

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Case Number: 19STCV01092 Hearing Date: August 20, 2026 Dept: SWA

Tentative Ruling (After Briefing and Arguments)

Judge Eric C. Taylor

Torrance/Department A

Hearing Date: Thursday, August 20, 2026

Case Name: Lan v. Eshak, et al.

Case No.: 19STCV01092

Proceeding: MOTION TO STRIKE COSTS

Moving Party: Defendant Wasem Eshak

Responding Party: Plaintiff Yongtong Lan

Notice: OK

Tentative Ruling (After Briefing and Arguments)

Judge Eric C. Taylor

Torrance/Department A

Hearing Date: Thursday, August 20, 2026

Case Name: Lan v. Eshak, et al.

Case No.: 19STCV01092

Proceeding: MOTION FOR NEW TRIAL

Moving Party: Plaintiff Yongtong Lan

Responding Party: Defendants Wasem Eshak and Ehab Yousseif

Notice: OK

Ruling: Plaintiff's Motion for New Trial is DENIED.

BACKGROUND

Plaintiff Yongtong Lan ("Plaintiff") alleged Defendant Wasem Eshak ("Eshak"), Ezzat Petross ("Petross"), Hany Barhoma ("Barhoma"), Ehab Yousseif ("Yousseif"), Mina Israel ("Israel"), and Bishoy Tannious ("Tannious") (collectively, "Defendants"), fraudulently induced him to invest in a specialty/dispensing/compounding pharmacy business located in the Lancaster-Palmdale area (the "Business") in an amount exceeding \$1,894,000. Plaintiff further alleges he later discovered the Business, iLabPharma ("iLab"), was insolvent and he had been defrauded of \$3,894,000.00.

On January 14, 2019, Plaintiff filed a complaint. On January 27, 2021, Plaintiff filed the operative second amended complaint ("SAC") alleging (1) intentional misrepresentation – fraud [count 1], (2) negligent misrepresentation [count 1], (3) intentional misrepresentation and deceit – fraud [count 2], (4) intentional misrepresentation – fraud [count 3], (5) concealment and deceit – fraud [count 4], (6) breach of fiduciary duty, (7) breach of contract [count 1], (8) breach of contract [count 2], (9) violation of penal code § 502 for computer fraud, (10) negligent misrepresentation [count 2], (11) fraud [count 5], (12) conversion, (13) money had and received, (14) unjust enrichment and constructive trust, (15) declaratory relief [count 1], and (16) declaratory relief [count 2].

On June 17, 2026, judgment was entered after bench trial. The Court granted judgment in favor of Plaintiff and against Defendants on the first through ninth causes of action and eleventh through fourteenth causes of action. (Judgment, 6/17/26 at pp. 5-6.) The Court further awarded a total of \$4,349,286.19 in damages on the fourth through sixth and twelfth through fourteenth causes of action plus ten (10) percent interest per annum. (Id.)

On July 7, 2026, Plaintiff filed a Notice of Intent to Move for New Trial. On July 17, 2026, Plaintiff filed the instant Motion for New Trial. On July 28, 2026, Eshak filed an opposition. On August 3, 2026, Yousseif filed an opposition. That same day, Plaintiff filed a reply to Eshak's opposition. On August 7, 2026, Plaintiff filed a reply to Yousseif's opposition.

LEGAL STANDARD

"The authority of a trial court in this state to grant a new trial is established and circumscribed by statute." (Oakland Raiders v. National Football League (2007) 41 Cal.4th 624, 633; see also Code Civ. Proc., §§ 657, 662.) "Section 657 sets out seven grounds for such a motion: (1) 'Irregularity in the proceedings'; (2) 'Misconduct of the jury'; (3) 'Accident or surprise'; (4) 'Newly discovered evidence'; (5) 'Excessive or inadequate damages'; (6) 'Insufficiency of the evidence'; and (7) 'Error in law.' " (Id.)

“New trial motions, as creatures of statute, are solely granted on the grounds enumerated in Code of Civil Procedure section 657; all other grounds are in excess of jurisdiction.” (Sargon Enterprises, Inc. v. University of Southern California (2013) 215 Cal.App.4th 1495, 1506.) Likewise, “[a] new trial order ‘can be granted only on a ground specified in the motion.’ ” (Collins v. Sutter Memorial Hospital (2011) 196 Cal.App.4th 1, 16.) “Whether a motion for new trial is granted or denied rests in the discretion of the trial court and will be reversed on appeal only upon a strong affirmative showing of abuse of discretion.” (Bank of America v. Cory (1985) 164 Cal.App.3d 66, 88.)

DISCUSSION

Motion for New Trial

I. Timeliness

“The party intending to move for a new trial shall file with the clerk and serve upon each adverse party a notice of their intention to move for a new trial, designating the grounds upon which the motion will be made and whether the same will be made upon affidavits or the minutes of the court, or both, either: [¶](1) After the decision is rendered and before the entry of judgment. [¶](2) Within 15 days of the date of serving notice of entry of judgment by the clerk of the court pursuant to Section 664.5, or service upon them by any party of written notice of entry of judgment, or within 180 days after the entry of judgment, whichever is earliest; provided, that upon the filing of the first notice of intention to move for a new trial by a party, each other party shall have 15 days after the service of that notice upon them to file and serve a notice of intention to move for a new trial.” (Code Civ. Proc., § 659, subd. (a).)

“Within 10 days after filing notice of intention to move for a new trial in a civil case, the moving party must serve and file a memorandum in support of the motion, and within 10 days thereafter any adverse party may serve and file a memorandum in reply.” (Cal. Rules of Court, rule 3.1600, subd. (a).) “If the moving party fails to serve and file a memorandum within the time prescribed in (a), the court may deny the motion for a new trial without a hearing on the merits.” (Cal. Rules of Court, rule 3.1600, subd. (b).)

“Timely filing is essential to the jurisdiction of the court to entertain a motion for a new trial.” (Ehrler v. Ehrler (1981) 126 Cal.App.3d 147, 151.) Essentially, “[b]ecause new trial motions are creatures of statute, ‘the procedural steps for making and determining such a motion are mandatory and must be strictly followed [citations].’ ” (Wall Street Network, Ltd. v. New York Times Co. (2008) 164 Cal.App.4th 1171, 1193.)

Here, the court’s statement of decision after bench trial was rendered on May 29, 2026 (“SOD”) and judgment was entered on June 17, 2026 (the “Judgment”). (Statement of Decision, 5/29/26; Judgment, 6/17/26.) The notice of entry of judgment was entered on June 23, 2026 (“NOE”). (Not. of Entry re Judgment, 6/23/26.) Plaintiff filed his notice of intention to move for new trial on July 7, 2026, which is fourteen (14) days after the NOE was entered. Thus, the notice of intention to move for new trial was timely filed. Likewise, the memorandum in support of the motion for new trial was filed on July 17, 2026, which is exactly ten (10) days after the filing of the notice of intention to move for new trial. As such, the memorandum in support of the present motion for new trial was also timely.

The Court briefly notes that Yousseif filed his opposition to the motion four days past the deadline set forth in Code of Civil Procedure Section 659a. Specifically, Yousseif’s opposition was due by July 29, 2026 but was not filed until August 3, 2026. However, the time for filing an opposition to a motion for new trial may, “for good cause shown by affidavit or by written stipulation of the parties, be extended by any judge for an additional period not to exceed 10 days.” (Code Civ. Proc., § 659a; see also Kabran v. Sharp Memorial Hospital (2017) 2 Cal.5th 330, 347 [holding that Section 659a is not jurisdictional].) Yousseif’s counsel of record, Timothy M. Kowal, avers that he was retained for appellate consultation services including postjudgment motion on or about July 22, 2026 but was not served with the present motion or subsequent exhibit filing. (Kowal Decl., ¶2.) It was not until the morning of August 3, 2026, during the course of postjudgment consultation, that Mr. Kowal determined that no opposition had been prepared or filed for Yousseif. (Id.) The California Rules of Court also gives the Court authority to consider untimely papers. (See Cal. Rules of Court, rule 3.1300, subd. (d) [“If the court, in its discretion,

refuses to consider a late filed paper, the minutes or order must so indicate."].) Accordingly, the Court will exercise its discretion and consider Yousseif's opposition on the merits.

II. Grounds for New Trial

Based on insufficient evidence, Plaintiff moves for a new trial on the grounds that: (1) inadequate damages were awarded on the fifth, sixth, seventh, eighth, eleventh, and twelfth causes of action; and (2) inadequate interest was awarded on the fourth, fifth, sixth, seventh, eighth, eleventh, twelfth, thirteenth, and fourteenth causes of action based off insufficient evidence. As such, Plaintiff argues that the Judgment was erroneous as a matter of law.

"A new trial shall not be granted upon the ground of insufficiency of the evidence to justify the verdict or other decision, nor upon the ground of excessive or inadequate damages, unless after weighing the evidence the court is convinced from the entire record, including reasonable inferences therefrom, that the court or jury clearly should have reached a different verdict or decision." (Code Civ. Proc., § 657.) The "entire record" refers to evidence that was before the trier of fact during the trial. (*Stevens v. Owens-Corning Fiberglas Corp.* (1996) 49 Cal.App.4th 1645, 1660; see also *Wilson v. R. D. Werner Co.* (1980) 108 Cal.App.3d 878, 882.)

"The ground listed as inadequate damages appearing to have been given under the influence of passion or prejudice is not a ground separately recognized by our statutes as independent of the ground of 'insufficiency of the evidence to justify the verdict and judgment and that they are against the law.'" (*Bray v. Rosen* (1959) 167 Cal.App.2d 680, 683.) Moreover, "a trial court may grant a new trial if 'its original ruling, as a matter of law, was erroneous.'" (*Collins v. Sutter Memorial Hospital* (2011) 196 Cal.App.4th 1, 17–18.) Similarly, "[i]f error appears in the record, the power of the trial court to grant a new trial is not limited by the conduct of the parties in inviting such error." (*Springer v. Sodestrom* (1942) 54 Cal.App.2d 704, 707.)

Plaintiff asserts that in the SAC, he sought damages in the amount of (1) \$250,000.00 plus pre-judgment interest as to the fifth and sixth causes of action; (2) \$355,000.00 plus pre-judgment interest as to the seventh cause of action; and (3) \$130,000.00 plus pre-judgment interest as to the eighth and eleventh cause of action. (Mot. at 4:4-9, 6:3-7, 9:27-10:4, 11:15-17.) For the following reasons set forth below, Plaintiff contends that he was entitled to full amount of damages sought in the SAC.

Concealment, Breach of Fiduciary Duty, and Conversion Claims

With respect to the fifth, sixth, and twelfth causes of action, Plaintiff was awarded a total of \$192,034.39, consisting of \$130,540.39 (fifth, sixth, and twelfth causes of action) and \$61,494.00 (treble damages for twelfth cause of action). (Judgment at ¶¶5-6, 12, 25a.) These causes of action were based on Plaintiff's allegations that Defendants breached their fiduciary duties or aided and abetted Eshak's breach of fiduciary duties by falsifying and manipulating financial statements and tax returns; concealing the existence of a secret account; diverting iLab funds into the secret account; and paying amounts from the secret account to Eshak, Defendants, and other third parties. (SOD at 38:1-22, 41:4-9, 48:4-10.)

The elements of a cause of action for fraudulent concealment are: (1) concealment of a material fact; (2) by a defendant with a duty to disclose; (3) the defendant intended to defraud by failing to disclose; (4) plaintiff was unaware of the fact and would not have acted as it did had it known the fact; and (5) damages." (*Butler America, LLC v. Aviation Assurance Company, LLC* (2020) 55 Cal.App.5th 136, 144.)

"There are 'four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts. [Citation.]' " (*LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 336.)

Similarly, “[t]he elements of a claim for breach of fiduciary duty are (1) the existence of a fiduciary relationship, (2) its breach, and (3) damage proximately caused by that breach.” (O’Neal v. Stanislaus County Employees’ Retirement Assn. (2017) 8 Cal.App.5th 1184, 1215.)

“Conversion is the wrongful exercise of dominion over the property of another. The elements of a conversion claim are: (1) the plaintiff’s ownership or right to possession of the property; (2) the defendant’s conversion by a wrongful act or disposition of property rights; and (3) damages.” (Bullesci v. Petersen (1998) 68 Cal.App.4th 1062, 1066.) “Conversion is an intentional tort.” (Multani v. Knight (2018) 23 Cal.App.5th 837, 853.) “Because the act [of conversion] must be knowingly done, ‘neither negligence, active or passive, nor a breach of contract, even though it result in injury to, or loss of, specific property, constitutes a conversion.’” (Taylor v. Forte Hotels International (1991) 235 Cal.App.3d 1119, 1124.) “[C]ases recognizing claims for the conversion of money ‘typically involve those who have misappropriated, commingled, or misapplied specific funds held for the benefit of others.’” (Voris v. Lampert (2019) 7 Cal.5th 1141, 1152, quoting PCO, Inc. v. Christensen, Miller, Fink, Jacobs, Glaser, Weil & Shapiro, LLP (2007) 150 Cal. App.4th 384, 396.)

Here, Plaintiff contends, inter alia, that the evidence established that on July 7, 2014, Eshak had submitted an entirely different business plan to the pharmaceutical wholesaler, McKesson Pharmaceuticals, than the business plan Eshak had provided to Plaintiff for iLabPharma Inc. (“iLab”). (Mot. at 4:10-16.) It was undisputed that the McKesson Business Plan was concealed from Plaintiff and he never saw it after June 13, 2017 and taking over iLab. (Id. at 4:17-18.) Plaintiff testified that had he known of the McKesson Business Plan, he would have never gone into business with Eshak nor deposited the \$250,000.00 into the Wells Fargo Bank account opened for iLab. (Id. at 4:4-28-5:2.)

In opposition, Eshak argues that the initial investment sum of \$250,000.00 was based on “initial investment representations,” none of which relate to the credit application or business plan submitted to McKesson. (Eshak Opp. at 1:12-27; SAC, ¶¶10-12, 94-100, 101-108.) Eshak also asserts that the evidence at trial demonstrated that iLab never did business with McKesson, thus neither the credit application nor the business plan submitted to McKesson caused any injury to Plaintiff. (Eshak Opp. at 2:11-15.)

Yousseif also opposes the present motion as to the fifth, sixth, and twelfth causes of action. Specifically, Yousseif argues that the present motion identifies no basis to the alter judgment as to him. (Yousseif Opp. at 6:4-13.) However, Plaintiff does not seek to alter the judgment that was granted in favor of Yousseif on the fifth, sixth, and twelfth causes of action. Plaintiff only seeks alteration of the prejudgment interest related to the thirteenth and fourteenth causes of action as it pertains to Yousseif.

Although Eshak asserts that none of the SAC allegations for the concealment and breach of fiduciary duty claims were in relation to the McKesson Business Plan, Plaintiff’s closing brief addressed the McKesson Business Plan and it was admitted as Exhibit 8 at trial. (SOD at 6:25-7:3.) Nonetheless, the Court finds that damages awarded in connection to the fifth, sixth, and twelfth causes of action are adequate.

The evidence established that Eshak presented Plaintiff with a written business plan for iLab (“2014 Business Plan”). (SAC, ¶10; Tr. Ex. 1.) The capital contribution needed to fund iLab was \$250,000.00. (Tr. Ex. 106-2.) Eshak advised that the projected/forecasted gross revenue for operating iLab was (1) \$12,075,855.00 for the first year; (2) \$17,780,069.00 for the second year; and (3) \$28,685,426.00 in the third year. (Tr. Ex. 1-19, 1-21, 1-32.) Contrarily, Eshak submitted a credit application to McKesson Pharmaceuticals including a business plan for iLab (“McKesson Business Plan”), which stated that the projected/forecasted gross revenue for operating iLab Pharmacy was (1) \$17,111.00 for the first year; (2) \$444,760.00 for the second year; and (3) \$1,974,060.00 in the third year. (Tr. Ex. 8-14, 8-16, 8-18.) To the extent that Plaintiff argues the differences between the projections and evaluations constitute misrepresentations of material facts because the McKesson Business Plan should have been facially identical to, with the exact same economic fundamentals as the 2014 Business Plan, the Court disagrees.

First, as the Court found in the SOD, the 2014 Business Plan and related drafts were projections and forecasts prepared and shared between the parties at their respective moments in time. (See SOD, p.31.) The Court recognized that the subsequent McKesson Business Plan submittal contained many similar product services as the 2014 Plan such as online pharmacy services, compounding center, and drug delivery. (Tr. Exs. 1-13, 8-9.) However, under the 2014 Plan drafts, iLab intended to

sell non-specialty medications as well as specialty medications; included 24/7 access to Pharmacists; hospital and retail pharmacy support services; and a Patient Advocacy Team. (Tr. Ex. 1-6, 1-7, 1-13.) By comparison, under the McKesson submittal, iLab intended to sell specialty medications only and provide elderly products, vaccinations, and free disease state management educational programs. (Tr. Ex. 8-9.) Similarly, the 2014 Plan and McKesson Plan both named Valley Drug Pharmacy and Desert Drug Pharmacy as competitors as it relates to specialty medications and compounding prescriptions. (Tr. Exs. 1-14, 8-10.) However, the 2014 Plan took into account other competitors: CVS Pharmacy, Rite Aid, Walgreen's, and Burns Pharmacy. (Tr. Ex. 1-13, 1-14.) As such, the Court understood that the projections in the 2014 Plan were not identical to the McKesson Plan submittal, but still decided that Plaintiff had not demonstrated that the differences constituted misrepresentations of material facts as the business itself and the related business plans, as expected, continued to develop over time.

Even assuming *arguendo* that the 2014 Plan and McKesson Plan were based on the exact same services, products, and competitors, the Court previously found that the evidence at trial established that the 2014 Plan was collaboratively revised four times by Plaintiff and Eshak. (SOD at 20:26-21:6.) The Court found that Plaintiff could not have justifiably relied on these evaluations and projections, and because Plaintiff's own email to Eshak on July 9, 2014 demonstrates that Plaintiff was aware that there was no guarantee that iLab "would be able to survive, stabilize and eventually succeed." (Id. at 21:8-10.) Further, as indicated in the final SOD, the initial Business Plan drafts were collaborative documents, and not in this Court's view, definitive, inflexible statements upon which Plaintiff could reasonably rely as the basis for a claim of fraud or misrepresentation by drawing comparisons with the subsequent McKesson Plan to obtain a credit line. As stated in the SOD, Plaintiff did not demonstrate justifiable reliance on the 2014 Plan in making a series of investments given that he, an experienced businessman, had ongoing unanswered concerns about iLab financials, yet continued to invest.

Breach of Shareholders Agreement and Promissory Note

As to the seventh cause of action, Plaintiff was awarded a total of \$0.00. (Judgment at ¶7.) This cause of action was based on Plaintiff's allegations that Eshak breached the March 2, 2016 Shareholders Agreement ("SHA") and Promissory Note by (1) failing to transfer his ownership interest to Plaintiff in exchange for payment; and (2) failing to repay a personal loan under a Promissory Note for \$355,000.00 to Plaintiff in exchange for Plaintiff's deposit in the same amount into iLab's capital upon Eshak's termination. (SOD at 43:6-10.)

Establishing a breach of contract claim "requires a showing of (1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff." (*D'Arrigo Bros. of California v. United Farmworkers of America* (2014) 224 Cal.App.4th 790, 800 (internal quotations omitted).)

Here, Plaintiff asserts, *inter alia*, that the evidence at trial established Plaintiff and Eshak entered into the SHA, whereby (i) prior loans by Plaintiff and his sister-in-law to iLab would be converted to Plaintiff's capital; (ii) Plaintiff would provide further capital into iLab for Plaintiff and his wife in the amount of \$475,000.00 with a deposit of \$355,000.00 of the loan funds as capital contribution for Eshak; and (iii) Plaintiff would pay off the \$420,000.00 in loans to iLab. (Mot. at 6:7-15, 7:7-8.) Plaintiff and his wife deposited a total of \$830,000.00 between March 11, 2016 and July 21, 2016. (Id. at 6:18-27.) Plaintiff also asserts that Eshak waived any objection to the 96 day delay in completing the contributions because Eshak did not sign the Promissory Note and Stock certificates until all the funds had been deposited into iLab's account; and stipulated that he never sought rescission of the SHA. (Id. at 7:18-8:8.) Moreover, Plaintiff asserts that the debt was knowingly taken off the books of iLab and removed as iLab payables. (Id. at 7:8-16, 8:14-19.)

In opposition, Eshak asserts that there is nothing the SHA provides for conversion of the loans into capital. (Eshak Opp. at 3:3-4.) Furthermore, Eshak contends that evidence shows Plaintiff did not pay off iLab's \$420,000.00 loan and that iLab actually incurred additional debts including \$640,000.00 to Plaintiff's sister-in-law. (Id. at 3:5-7, 3:24-4:4.) Additionally, Eshak argues that Plaintiff concedes that the required additional funding in the sum of \$475,000.00 was not made in accordance with the 45-day deadline and Plaintiff's contention that the SHA was orally modified is expressly contradicted by Eshak's denial of the purported modification and the SHA provisions. (Id. at 4:13-5:8.) Eshak also contends that the \$355,000.00 contribution was not made in accordance with the 45-day deadline. (Id. at 5:9-6:15.)

In Paragraph 12.2 of the SHA, upon his termination, Eshak was required to transfer all his shares in iLab to Plaintiff and his wife as follows:

"If the event occurs prior to December 31, 2021, the amount of compensation to ESHAK shall be restricted to the shareholders' equity on the [iLab's] balance sheet attributable to the number of shares owned by ESHAK. The compensation shall be paid out to ESHAK within thirty (30) days after the completion of the share transfer or any other procedure that may prevent the [iLab] from normal operations, whichever is later. If at the time the accumulated net profit made by the [iLab] is less than two (2) times over the total shareholders' capital contribution, the amount of the unpaid loan and the interest identified in Paragraph 5.2.1 shall be deducted from the compensation to pay off the loan owned to [Plaintiff] and [Plaintiff's wife]." (Tr. Ex. 106-4.)

"If the event occurs after January 1, 2022, the amount of compensation to ESHAK shall be restricted to the shareholders' equity attributable to the number of shares owned by ESHAK. In case the accumulated net profit made by the [iLab] exceeds five (5) times over the total shareholders' capital contribution, the [iLab] shall pay certain bonus to ESHAK in the two (2) full fiscal years following the year of ESHAK's employment termination. The bonus amount shall be ten (10%) percent of the [iLab's] net profit in the first following year, and five (5%) percent of the [iLab's] net profit in the second following year. The bonus payout date shall be within ninety (90) days after the availability of the [iLab's] financial statements in the corresponding fiscal year." (Tr. Ex. 106-5.)

Essentially, Eshak's performance under the "Termination" section of the SHA required Plaintiff to have performed in accordance with his contractual obligations under Paragraph 5 of the SHA. As mentioned above, the evidence established that Plaintiff and his wife agreed to: (1) pay off iLab's debt in the sum of \$420,000.00 (Tr. Ex. 106-2 (¶5.2)); (2) loan Eshak \$355,000.00 (Tr. Ex. 106-2 (¶5.2.1)); and (3) pay \$475,000.00 as capital contributions for iLab within 45 days after executing the SHA (Tr. Ex. 106-2 (¶5.2.2)). Contrary to Plaintiff's contention, the SHA does not indicate that the \$355,000.00 loan paid (Tr. Ex. 136) was meant to be used by Eshak as capital contribution funds. (Id.) Similarly, the evidence does not show that Plaintiff ultimately paid the \$420,000 debt and/or the \$475,000.00 in capital contributions. (Tr. Ex. 134-1.)

Based upon the evidence, from March 11, 2016 through May 11, 2016, Plaintiff and/or his wife paid \$240,000.00 to iLab. (Tr. Ex. 134-1.) Subsequently, on June 22, 2016, Plaintiff and his wife paid \$170,000.00 to iLab. (Id.) Altogether, Plaintiff and/or his wife paid \$410,000.00 but \$20,000.00 was deducted as a loan repayment to Plaintiff, leaving a total of \$390,000.00. (Id.) Now, the funding summary does indicate that Plaintiff's sister-in-law, Yehui Liu deposited a total of \$440,000.00 from June 23, 2016 through July 21, 2016. (Id.) To the extent that Plaintiff asserts Ms. Liu's deposits of \$440,000.00 were on his behalf to satisfy his contractual obligations under the SHA (Mot. at 6:19-21), Plaintiff did not submit any evidence of such arrangement during the trial. The promissory note dated July 25, 2016 for \$860,000.00 merely shows that Ms. Liu gave Plaintiff and his wife another loan not that she assumed responsibility for paying a portion of the \$475,000.00 capital contribution and/or \$355,000.00 loan to Eshak. (Tr. Ex. 135.) In fact, the \$440,000.00 is placed in the column with the initial \$420,000.00 loan for a total of \$860,000.00, which further suggests that it was an additional loan. (Tr. Ex. 134.) Likewise, even if the Court was to construe the \$355,000.00 as a capital contribution and consider that it was part of the \$390,000.00 payment, Plaintiff did not submit any evidence at trial showing that Eshak's shares increased. (Eshak Opp. at 6:3-15.) Moreover, Plaintiff's reply brief does not address this discrepancy.

The Court appropriately awarded \$0.00 on the seventh cause of action

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Breach of Stock Purchase Agreement

In regard to the eighth and eleventh causes of action, Plaintiff was also awarded a total of \$0.00. (Judgment at ¶¶8, 11.) These causes of action were based on Plaintiff's allegations that Eshak defrauded Plaintiff by using funds from the secret account to pay for Eshak's downpayment under the SPA. (SOD at 43:27-44:2, 46:21-27.)

Plaintiff argues that the evidence established that delivery of \$200,000.00 nonrefundable deposit was a condition precedent to the opening of escrow under the March 12, 2017 Stock Purchase Agreement (“SPA”) and prior to any performance owed by Plaintiff. (Mot. at 10:9-27.) Furthermore, Plaintiff contends that \$130,000.00 out of the \$200,000.00 paid on May 12, 2017 was actually funds stolen from iLab, thus Eshak still owes the \$130,000.00. (Id.)

By contrast, Eshak contends that evidence at trial showed that Plaintiff did not sign the escrow instructions until June 1, 2017, and his wife did not deliver the stock certificates to escrow within two (2) business days as required under the SPA. (Eshak Opp. at 6:19-7:8.) Similarly, Eshak asserts that Plaintiff and his wife were required to deposit an executed letter of resignation into escrow within (2) business days as required under the SPA. (Id. at 7:8-17.) Both Plaintiff and his wife breached these provisions. (Id.) Moreover, Eshak contends that Plaintiff made his full performance under the SPA impossible by terminating him on June 13, 2017, albeit agreeing to extend the closing date to July 24, 2017. (Id. at 7:20-27.)

After reviewing the evidence presented at trial, the Court finds that the award of \$0.00 on the eighth and eleventh causes of action was adequate for the reasons set forth below.

As discussed above, on May 12, 2017, Plaintiff, his wife, and Eshak entered into the SPA, wherein Plaintiff and his wife agreed to sell their outstanding shares in iLab to Eshak. (Tr. Ex. 280-2 (¶¶A-C).) In return, Eshak agreed to pay Plaintiff and his wife a \$200,000.00 nonrefundable deposit prior to Opening Escrow. (Tr. Ex. 280-3 (¶E(2)).) Plaintiff and his wife also agreed to: (1) open escrow within one (1) business day after the execution of the SPA; (2) deliver to escrow stock certificates representing the shares to be transferred to Eshak within two (2) business days; (3) deliver to escrow their letters of resignations; and (4) deliver to escrow a promissory note dated August 5, 2016 in the amount of \$355,000.00. (Tr. Ex. 280-4 (¶E(5.1)).)

Eshak caused two cashier's checks to be paid to Plaintiff on May 12, 2017 in the amounts of \$130,000.00 from California Bank Trust and \$70,000.00 from Wells Fargo Bank, N.A., for a total payment of \$200,000.00. (Tr. Ex. 277.) It is undisputed that \$130,000 of Eshak's \$200,000.00 deposit to Plaintiff was from stolen iLab funds. (SOD at 44:5-6; Mot. at 9:27-28; Eshak Opp. at 6:16-7:27 [omits any discussion as to the nature of the \$130,000.00 paid]; Reply at 8:12-15.) As such, Eshak breached the SPA by failing to pay \$130,000.00 out of the \$200,000.00 nonrefundable deposit with good funds.

To the extent that Plaintiff argues that Eshak's obligation to pay the \$200,000.00 deposit was a condition precedent not a condition concurrent, “[u]nder the law of contracts, parties may expressly agree that a right or duty is conditional upon the occurrence or nonoccurrence of an act or event.” (Platt Pacific, Inc. v. Andelson (1993) 6 Cal.4th 307, 313; see also Civ. Code, § 1436.) “Thus, a condition precedent is either an act of a party that must be performed or an uncertain event that must happen before the contractual right accrues or the contractual duty arises.” (Id.) “Conditions concurrent are those which are mutually dependent, and are to be performed at the same time.” (Civ. Code, § 1437.) “ ‘Neither party to such a contract [in which the obligations of the parties constitute concurrent conditions] can place the other in default unless he is able to perform or tender performance.’ ” (Fogarty v. Saathoff (1982) 128 Cal.App.3d 780, 785.)

“Provisions ‘are not to be construed as conditions precedent unless such construction is required by clear, unambiguous language; and particularly so where a forfeiture would be involved or inequitable consequences would result. [Citations.]’ [Citations.] Because ‘such conditions are not favored by the law, [they] are to be strictly construed against one seeking to avail [it]self of them. [Citations.]’ ” (Los Angeles Unified School Dist. v. Torres Construction Corp. (2020) 57 Cal.App.5th 480, 501–502.) “Instead, whenever possible the courts will construe promises in a bilateral contract as mutually dependent and concurrent.” (Rubin v. Fuchs (1969) 1 Cal.3d 50, 54.)

“Generally, a party's failure to perform a condition precedent will preclude an action for breach of contract.” (Richman v. Hartley (2014) 224 Cal.App.4th 1182, 1192.)

Even though the language used in Paragraph 2 of the SPA tends to indicate that Eshak's payment of the \$200,000.00 nonrefundable deposit was a condition precedent (Tr. Ex. 280-3 (¶E(2))), the issue remains that Plaintiff did not act in good faith and fair dealing at the time the SPA was executed. “Every contract imposes upon each party a duty of good faith and fair dealing in the performance of the contract such that neither party shall do anything to unfairly interfere with the right of any

other party to receive the benefits of the contract.” (Y.P. v. Wells Fargo Co. (2026) 119 Cal.App.5th 1069, 1084.) “[E]ssentially ‘the “implied covenant imposes upon each party the obligation to do everything that the contract presupposes they will do to accomplish its purpose.” ’ ” (Id.)

If at the time of the contract, Plaintiff believed the deposit paid by Eshak was legitimate and paid in good faith in accordance with Eshak’s obligations under the SPA, Plaintiff’s obligations to perform under the SPA were necessarily triggered. As shown by the evidence produced at trial, Plaintiff did not perform the obligations required of him under the SPA because he failed to deliver his share transfer documents to escrow within two (2) business days as required. (SOD at 44:7-11.) In fact, Plaintiff retained his interest in iLab. (Id.) Therefore, the evidence established that the SPA was voided by mutual material breach. (Id. at 44:11-12.)

Interest Award

Finally, Plaintiff contends that he did not receive prejudgment interest under the fourth, fifth, sixth, seventh, eighth, eleventh, twelfth, thirteenth, and fourteenth causes of action. (Mot. at 11:15-17.) Curiously, the Court adopted the proposed judgment submitted by Plaintiff on June 5, 2026, with minor amendments to Paragraph 25. The Judgment explicitly awarded ten (10) percent interest per annum from April 27, 2017 on the fourth, fifth, sixth, twelfth, thirteenth, and fourteenth causes of action. (Plf. Prop. Judg. (6/5/26) at ¶25a-c; Judgment (6/17/26) at ¶25a-c.) Interest was not awarded for the seventh, eighth, and eleventh causes of action since no monetary damages award was entered as to those causes of action. (SOD at 61:1-6; Plf. Prop. Judg. (6/5/26) at ¶¶7-8, 11; Judgment (6/17/26) at ¶¶7-8, 11.) As such, Plaintiff fails to demonstrate that the Judgment did not include a prejudgment interest award for the causes of action which he prevailed on at trial.

CONCLUSION

Plaintiff’s Motion for New Trial is DENIED.

Ruling: Defendant Wasem Eshak’s Motion to Strike Costs is DENIED. Plaintiff Yongtong Lan is awarded costs pursuant to the Memorandum of Costs in the amount of \$296,570.03 as follows:

- Item 1, Filing and Motion Fees – \$2,245.00
- Item 2, Jury Fees – \$150.00
- Item 4, Deposition Costs – \$116,250.76
- Item 5, Service of Process – \$23,508.94
- Item 8, Witness Fees – \$1,692.23
- Item 11, Court Reporter Fees – \$47,151.01
- Item 13, Models, Enlargements, and Photocopies of Exhibits – \$45,689.00
- Item 14, Electronic Filing Fees – \$11,110.04

· Item 15, Other Fees – \$48,773.05

BACKGROUND

Plaintiff Yongtong Lan (“Plaintiff”) alleged Defendant Wasem Eshak (“Eshak”), Ezzat Petross (“Petross”), Hany Barhoma (“Barhoma”), Ehab Yousseif (“Yousseif”), Mina Israel (“Israel”), and Bishoy Tannious (“Tannious”) (collectively, “Defendants”), fraudulently induced him to invest in a specialty/dispensing/compounding pharmacy business located in the Lancaster-Palmdale area (the “Business”) in an amount exceeding \$1,894,000. Plaintiff further alleges he later discovered the Business, iLabPharma, was insolvent and he had been defrauded of \$3,894,000.00.

On January 14, 2019, Plaintiff filed a complaint. On January 27, 2021, Plaintiff filed the operative second amended complaint (“SAC”) alleging (1) intentional misrepresentation – fraud [count 1], (2) negligent misrepresentation [count 1], (3) intentional misrepresentation and deceit – fraud [count 2], (4) intentional misrepresentation – fraud [count 3], (5) concealment and deceit – fraud [count 4], (6) breach of fiduciary duty, (7) breach of contract [count 1], (8) breach of contract [count 2], (9) violation of penal code § 502 for computer fraud, (10) negligent misrepresentation [count 2], (11) fraud [count 5], (12) conversion, (13) money had and received, (14) unjust enrichment and constructive trust, (15) declaratory relief [count 1], and (16) declaratory relief [count 2].

On June 17, 2026, judgment was entered after bench trial. The Court granted judgment in favor of Plaintiff and against Defendants on the first through ninth causes of action and eleventh through fourteenth causes of action. (Judgment, 6/17/26 at pp. 5-6.) The Court further awarded a total of \$4,349,286.19 in damages on the fourth through sixth and twelfth through fourteenth causes of action plus ten (10) percent interest per annum. (Id.)

On July 10, 2026, Plaintiff filed a Memorandum of Costs requesting a total of \$296,570.03 consisting of: (1) \$2,245.00 in filing and motion fees; (2) \$150.00 in jury fees; (3) \$116,250.76 in deposition costs; (4) \$23,508.94 in service of process fees; (5) \$1,692.23 in witness fees; (6) \$47,151.01 in court reporter fees as established by statute; (7) \$45,689.00 for models, enlargements, and photocopies of exhibits; (8) \$11,110.04 in electronic filing fees; and (9) \$48,773.05 for other fees. On July 30, 2026, Eshak filed the instant Motion to Strike Plaintiff’s Memorandum of Costs (“MOC”). On August 5, 2026, Plaintiff filed an opposition. Any reply would have been due on August 13, 2026. To date, no reply has been filed.

LEGAL STANDARD

To obtain costs, the prevailing party must file and serve a memorandum of costs, which “must be verified by a statement of the party, attorney, or agent that to the best of his or her knowledge the items of cost are correct and were necessarily incurred in the case.” (Cal. Rules of Court, rule 3.1700, subd. (a).)

Copies of bills, invoices, statements, or other documentation need not be attached to the memorandum (Jones v. Dumrichob (1998) 63 Cal.App.4th 1258, 1267), but the memorandum must provide enough detail to determine the cost sought is statutorily awardable (Nelson v. Anderson (1999) 72 Cal.App.4th 111, 132.) If the items on the face of the cost memorandum appear to be proper charges, the verified cost memorandum is prima facie evidence of their propriety, and it is the challenging party who bears the burden to show the costs were not reasonable or necessary. (Ladas v. California State Auto. Assn. (1993) 19 Cal.App.4th 761, 774.) The only identifiable requirement for a memo of costs is that it set forth the costs claimed and be verified. (Cal. Rules of Court, rule 3.1700, subd. (a)(1).)

The mere filing of a motion to tax costs may be a proper objection to an item if the necessity of that item appears doubtful, does not appear to be proper on its face (Nelson, supra, 72 Cal.App.4th at 131), or presents a legal question (Fennessy v. Deleuw-Cather Corporation (1990) 218 Cal.App.3d 1192, 1195–1996 (motion to tax questioning entitlement to deposition costs incurred by all six defendants represented by the same counsel was sufficient to place the cost at issue without additional declarations or affidavits).)

However, if section 1033.5 expressly allows the particular item and it appears proper on its face, the burden is on the objecting party to show the costs to be unnecessary or unreasonable. (Nelson, supra, 72 Cal.App.4th at 131.) “The court’s first determination, therefore, is whether the statute expressly allows the particular item, and whether it appears proper on its face. If so, the burden is on the objecting party to show them to be unnecessary or unreasonable.” (Ibid.)

If costs are properly placed at issue, the burden of proof shifts to the party seeking costs to justify them by providing evidence and supporting documentation that the costs were reasonable and necessarily incurred. (Ladas v. California State Auto. Assn., supra, 19 Cal.App.4th at 774; Jones, supra, 63 Cal.App.4th at 1267.)

DISCUSSION

For the following reasons set forth below, the Court denies Eshak’s motion to strike Plaintiff’s memorandum of costs (“MOC”).

“A prevailing party who claims costs must serve and file a memorandum of costs within 15 days after the date of service of the notice of entry of judgment or dismissal by the clerk under Code of Civil Procedure section 664.5 or the date of service of written notice of entry of judgment or dismissal, or within 180 days after entry of judgment, whichever is first.

“Any notice of motion to strike or to tax costs must be served and filed 15 days after service of the cost memorandum. If the cost memorandum was served by mail, the period is extended as provided in Code of Civil Procedure section 1013. If the cost memorandum was served electronically, the period is extended as provided in Code of Civil Procedure section 1010.6(a)(4).” (Cal. Rules of Court, rule 3.1700, subd. (b)(1).)

Eshak’s sole argument in the present motion is that Plaintiff waived his right to costs by failing to timely file his MOC. The Court disagrees. First, Plaintiff’s MOC was due by July 13, 2026, which would have been fifteen (15) days after service of the Notice of Entry of Judgment plus an additional five (5) days per Code of Civil Procedure Section 1013, subdivision (a) since the Notice of Entry of Judgment was served via mail by the clerk on June 22, 2026. (Cert. of Mailing, 6/17/26; Wittner Decl., ¶¶12-4, Exs. 1-3; Lewin Decl., ¶12, Ex. 2.) Even calculating the time to file and serve the MOC by the date of service of the written Notice of Entry of Judgment by Plaintiff, the deadline for the MOC to be served and filed would have been July 13, 2026 because Plaintiff’s counsel served the written notice via mail and email on June 23, 2026. (Wittner Decl., ¶15, Ex. 4.) Plaintiff filed the MOC on July 10, 2026. As such, Plaintiff’s MOC was timely filed.

Eshak does not challenge the claimed cost on substantive grounds. Accordingly, Eshak has not met his burden that the claimed costs on Plaintiff’s properly verified MOC are not prima facie valid and/or reasonably incurred to litigate this case.

CONCLUSION

Defendant’s Motion to Strike Costs is DENIED. Plaintiff is awarded costs pursuant to the Memorandum of Costs in the amount of \$296,570.03.

Final Ruling (After Briefing

and Arguments)

Judge Eric C. Taylor

Torrance/Department A

Hearing Date: Thursday,

August 20, 2026

Case Name: Lan v. Eshak, et

al.

Case No.: 19STCV01092

Proceeding: MOTION FOR NEW TRIAL

Moving Party: Plaintiff Yongtong Lan

Responding

Party: Defendants Wasem

Eshak and Ehab Yousseif

Notice: OK

Ruling: Plaintiff's Motion for New Trial is DENIED.

BACKGROUND

Plaintiff

Yongtong Lan ("Plaintiff") alleged Defendant Wasem Eshak ("Eshak"), Ezzat

Petross ("Petross"), Hany Barhoma ("Barhoma"), Ehab Yousseif ("Yousseif"), Mina

Israel ("Israel"), and Bishoy Tannious ("Tannious") (collectively,

"Defendants"), fraudulently induced him to invest in a

specialty/dispensing/compounding pharmacy business located in the

Lancaster-Palmdale area (the "Business") in an amount exceeding \$1,894,000.

Plaintiff further alleges he later discovered the Business, iLabPharma ("iLab"), was insolvent and he had been defrauded of \$3,894,000.00.

On

January 14, 2019, Plaintiff filed a complaint. On January 27, 2021, Plaintiff filed the operative second amended complaint ("SAC") alleging (1) intentional misrepresentation – fraud [count 1], (2) negligent misrepresentation [count 1], (3) intentional misrepresentation and deceit – fraud [count 2], (4) intentional misrepresentation – fraud [count 3], (5) concealment and deceit – fraud [count 4], (6) breach of fiduciary duty, (7) breach of contract [count 1], (8) breach of contract [count 2], (9) violation of penal code § 502 for computer fraud, (10) negligent misrepresentation [count 2], (11) fraud [count 5], (12) conversion, (13) money had and received, (14) unjust enrichment and constructive trust, (15) declaratory relief [count 1], and (16) declaratory relief [count 2].

On

June 17, 2026, judgment was entered after bench trial. The Court granted judgment in favor of Plaintiff and against Defendants on the first through ninth causes of action and eleventh through fourteenth causes of action. (Judgment, 6/17/26 at pp. 5-6.) The Court further awarded a total of \$4,349,286.19 in damages on the fourth through sixth and twelfth through fourteenth causes of

action plus ten (10) percent interest per annum. (Id.)

On

July 7, 2026, Plaintiff filed a Notice of Intent to Move for New Trial. On July

17, 2026, Plaintiff filed the instant Motion for New Trial. On July 28, 2026,

Eshak filed an opposition. On August 3, 2026, Yousseif filed an opposition.

That same day, Plaintiff filed a reply to Eshak's opposition. On August 7,

2026, Plaintiff filed a reply to Yousseif's opposition.

LEGAL

STANDARD

"The authority of a trial court in this state

to grant a new trial is established and circumscribed by statute." (Oakland

Raiders v. National Football League (2007) 41 Cal.4th 624, 633; see also

Code Civ. Proc., §§ 657, 662.) "Section 657 sets out seven grounds for such a

motion: (1) 'Irregularity in the proceedings'; (2) 'Misconduct of the jury';

(3) 'Accident or surprise'; (4) 'Newly discovered evidence'; (5) 'Excessive or

inadequate damages'; (6) 'Insufficiency of the evidence'; and (7) 'Error in

law.' " (Id.)

"New trial motions, as creatures of statute,

are solely granted on the grounds enumerated in Code of Civil Procedure section

657; all other grounds are in excess of jurisdiction." (Sargon Enterprises,

Inc. v. University of Southern California (2013) 215 Cal.App.4th 1495, 1506.) Likewise, “[a] new trial order ‘can be granted only on a ground specified in the motion.’ ” (Collins v. Sutter Memorial Hospital (2011) 196 Cal.App.4th 1, 16.) “Whether a motion for new trial is granted or denied rests in the discretion of the trial court and will be reversed on appeal only upon a strong affirmative showing of abuse of discretion.” (Bank of America v. Cory (1985) 164 Cal.App.3d 66, 88.)

DISCUSSION

Motion for New Trial

I. Timeliness

“The party intending to move for a new trial shall file with the clerk and serve upon each adverse party a notice of their intention to move for a new trial, designating the grounds upon which the motion will be made and whether the same will be made upon affidavits or the minutes of the court, or both, either: [¶](1) After the decision is rendered and before the entry of judgment. [¶](2) Within 15 days of the date of serving notice of entry of judgment by the clerk of the court pursuant to Section 664.5, or service upon them by any party of written notice of entry of judgment, or within 180 days after the entry of judgment, whichever is earliest; provided, that upon the filing of the first notice of intention to

move for a new trial by a party, each other party shall have 15 days after

the service of that notice upon them to file and serve a notice of

intention to move for a new trial." (Code Civ. Proc., § 659, subd. (a).)

"Within 10 days after filing notice of

intention to move for a new trial in a civil case, the moving party must serve

and file a memorandum in support of the motion, and within 10 days thereafter

any adverse party may serve and file a memorandum in reply." (Cal. Rules of Court,

rule 3.1600, subd. (a).) "If the moving party fails to serve and file a

memorandum within the time prescribed in (a), the court may deny the motion for

a new trial without a hearing on the merits." (Cal. Rules of Court, rule

3.1600, subd. (b).)

"Timely filing is essential to the

jurisdiction of the court to entertain a motion for a new trial." (Ehrler v.

Ehrler (1981) 126 Cal.App.3d 147, 151.) Essentially, "[b]ecause new trial

motions are creatures of statute, 'the procedural steps for making and

determining such a motion are mandatory and must be strictly followed

[citations].'" (Wall Street Network, Ltd. v. New York Times Co. (2008)

164 Cal.App.4th 1171, 1193.)

Here, the court's statement of decision after

bench trial was rendered on May 29, 2026 ("SOD") and judgment was entered on

June 17, 2026 (the “Judgment”). (Statement of Decision, 5/29/26; Judgment, 6/17/26.) The notice of entry of judgment was entered on June 23, 2026 (“NOE”).

(Not. of Entry re Judgment, 6/23/26.) Plaintiff filed his notice of intention to move for new trial on July 7, 2026, which is fourteen (14) days after the NOE was entered. Thus, the notice of intention to move for new trial was timely filed. Likewise, the memorandum in support of the motion for new trial was filed on July 17, 2026, which is exactly ten (10) days after the filing of the notice of intention to move for new trial. As such, the memorandum in support of the present motion for new trial was also timely.

The Court briefly notes that Yousseif filed his opposition to the motion four days past the deadline set forth in Code of Civil Procedure Section 659a. Specifically, Yousseif’s opposition was due by July 29, 2026 but was not filed until August 3, 2026. However, the time for filing an opposition to a motion for new trial may, “for good cause shown by affidavit or by written stipulation of the parties, be extended by any judge for an additional period not to exceed 10 days.” (Code Civ. Proc., § 659a; see also *Kabran v. Sharp Memorial Hospital* (2017) 2 Cal.5th 330, 347 [holding that Section 659a is not jurisdictional].) Yousseif’s counsel of record, Timothy M. Kowal, avers that he was retained for appellate consultation services including postjudgment motion on or about July 22, 2026 but was not served with the

present motion or subsequent exhibit filing. (Kowal Decl., ¶2.) It was not until the morning of August 3, 2026, during the course of postjudgment consultation, that Mr. Kowal determined that no opposition had been prepared or filed for Yousseif. (Id.) The California Rules of Court also gives the Court authority to consider untimely papers. (See Cal. Rules of Court, rule 3.1300, subd. (d) [“If the court, in its discretion, refuses to consider a late filed paper, the minutes or order must so indicate.”].) Accordingly, the Court will exercise its discretion and consider Yousseif’s opposition on the merits.

II. Grounds for New Trial

Based on

insufficient evidence, Plaintiff moves for a new trial on the grounds that: (1) inadequate damages were awarded on the fifth, sixth, seventh, eighth, eleventh, and twelfth causes of action; and (2) inadequate interest was awarded on the fourth, fifth, sixth, seventh, eighth, eleventh, twelfth, thirteenth, and fourteenth causes of action based off insufficient evidence. As such, Plaintiff argues that the Judgment was erroneous as a matter of law.

“A new trial shall not be granted upon

the ground of insufficiency of the evidence to justify the verdict or other

decision, nor upon the ground of excessive or inadequate damages, unless after

weighing the evidence the court is convinced from the entire record, including reasonable inferences therefrom, that the court or jury clearly should have reached a different verdict or decision.” (Code Civ. Proc., § 657.) The “entire record” refers to evidence that was before the trier of fact during the trial.

(Stevens v. Owens-Corning Fiberglas Corp. (1996) 49 Cal.App.4th 1645, 1660; see also Wilson v. R. D. Werner Co. (1980) 108 Cal.App.3d 878, 882.)

“The ground listed

as inadequate damages appearing to have been given under the influence of passion or prejudice is not a ground separately recognized by our statutes as independent of the ground of ‘insufficiency of the evidence to justify the verdict and judgment and that they are against the law.’” (Bray v. Rosen (1959) 167 Cal.App.2d 680, 683.) Moreover, “a trial court may grant a new trial if ‘its original ruling, as a matter of law, was erroneous.’” (Collins v.

Sutter Memorial Hospital (2011) 196 Cal.App.4th 1, 17–18.) Similarly, “[i]f error appears in the record, the power of the trial court to grant a new trial is not limited by the conduct of the parties in inviting such error.” (Springer v. Sodestrom (1942) 54 Cal.App.2d 704, 707.)

Plaintiff asserts

that in the SAC, he sought damages in the amount of (1) \$250,000.00 plus

pre-judgment interest as to the fifth and sixth causes of action; (2)

\$355,000.00 plus pre-judgment interest as to the seventh cause of action; and (3)

\$130,000.00 plus pre-judgment interest as to the eighth and eleventh cause of

action. (Mot. at 4:4-9, 6:3-7, 9:27-10:4, 11:15-17.) For the following reasons

set forth below, Plaintiff contends that he was entitled to full amount of

damages sought in the SAC.

Concealment,

Breach of Fiduciary Duty, and Conversion Claims

With respect to

the fifth, sixth, and twelfth causes of action, Plaintiff was awarded a total

of \$192,034.39, consisting of \$130,540.39 (fifth, sixth, and twelfth causes of

action) and \$61,494.00 (treble damages for twelfth cause of action). (Judgment

at ¶¶5-6, 12, 25a.) These causes of action were based on Plaintiff's

allegations that Defendants breached their fiduciary duties or aided and

abetted Eshak's breach of fiduciary duties by falsifying and manipulating

financial statements and tax returns; concealing the existence of a secret

account; diverting iLab funds into the secret account; and paying amounts from

the secret account to Eshak, Defendants, and other third parties. (SOD at

38:1-22, 41:4-9, 48:4-10.)

The elements of a

cause of action for fraudulent concealment are: (1) concealment of a material fact; (2) by a defendant with a duty to disclose; (3) the defendant intended to defraud by failing to disclose; (4) plaintiff was unaware of the fact and would not have acted as it did had it known the fact; and (5) damages.” (Butler America, LLC v. Aviation Assurance Company, LLC (2020) 55 Cal.App.5th 136, 144.)

“There are ‘four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts. [Citation.]’ ” (LiMandri v. Judkins (1997) 52 Cal.App.4th 326, 336.)

Similarly, “[t]he elements of a claim for breach of fiduciary duty are (1) the existence of a fiduciary relationship, (2) its breach, and (3) damage proximately caused by that breach.” (O’Neal v. Stanislaus County Employees’ Retirement Assn. (2017) 8 Cal.App.5th 1184, 1215.)

“Conversion is the wrongful exercise of dominion over the property of another. The elements of a

conversion claim are: (1) the plaintiff's ownership or right to possession of the property; (2) the defendant's conversion by a wrongful act or disposition of property rights; and (3) damages." (Burlesci v. Petersen (1998) 68 Cal.App.4th 1062, 1066.) "Conversion is an intentional tort." (Multani v. Knight (2018) 23 Cal.App.5th 837, 853.) "Because the act [of conversion] must be knowingly done, 'neither negligence, active or passive, nor a breach of contract, even though it result in injury to, or loss of, specific property, constitutes a conversion.'" (Taylor v. Forte Hotels International (1991) 235 Cal.App.3d 1119, 1124.) "[C]ases recognizing claims for the conversion of money 'typically involve those who have misappropriated, commingled, or misapplied specific funds held for the benefit of others.'" (Voris v. Lampert (2019) 7 Cal.5th 1141, 1152, quoting PCO, Inc. v. Christensen, Miller, Fink, Jacobs, Glaser, Weil & Shapiro, LLP (2007) 150 Cal. App.4th 384, 396.)

Here, Plaintiff

contends, inter alia, that the evidence established that on July 7, 2014, Eshak had submitted an entirely different business plan to the pharmaceutical wholesaler, McKesson Pharmaceuticals, than the business plan Eshak had provided to Plaintiff for iLabPharma Inc. ("iLab"). (Mot. at 4:10-16.) It was undisputed that the McKesson Business Plan was concealed from Plaintiff

and he never saw it after June 13, 2017 and taking over iLab. (Id. at 4:17-18.) Plaintiff testified that had he known of the McKesson Business Plan, he would have never gone into business with Eshak nor deposited the \$250,000.00 into the Wells Fargo Bank account opened for iLab. (Id. at 4:4:28-5:2.)

In opposition,

Eshak argues that the initial investment sum of \$250,000.00 was based on “initial investment representations,” none of which relate to the credit application or business plan submitted to McKesson. (Eshak Opp. at 1:12-27; SAC, ¶¶10-12, 94-100, 101-108.) Eshak also asserts that the evidence at trial demonstrated that iLab never did business with McKesson, thus neither the credit application nor the business plan submitted to McKesson caused any injury to Plaintiff. (Eshak Opp. at 2:11-15.)

Yousseif also opposes the present motion as to the fifth, sixth, and twelfth causes of action. Specifically, Yousseif argues that the present motion identifies no basis to the alter judgment as to him.

(Yousseif Opp. at 6:4-13.) However, Plaintiff does not seek to alter the judgment that was granted in favor of Yousseif on the fifth, sixth, and twelfth causes of action. Plaintiff only seeks alteration of the prejudgment interest related to the thirteenth and fourteenth causes of action as it pertains to Yousseif.

Although Eshak asserts

that none of the SAC allegations for the concealment and breach of fiduciary duty claims were in relation to the McKesson Business Plan, Plaintiff's closing brief addressed the McKesson Business Plan and it was admitted as Exhibit 8 at trial. (SOD at 6:25-7:3.) Nonetheless, the Court finds that damages awarded in connection to the fifth, sixth, and twelfth causes of action are adequate.

The evidence

established that Eshak presented Plaintiff with a written business plan for iLab ("2014 Business Plan"). (SAC, ¶10; Tr. Ex. 1.) The capital contribution needed to fund iLab was \$250,000.00. (Tr. Ex. 106-2.) Eshak advised that the projected/forecasted gross revenue for operating iLab was (1) \$12,075,855.00 for the first year; (2) \$17,780,069.00 for the second year; and (3) \$28,685,426.00 in the third year. (Tr. Ex. 1-19, 1-21, 1-32.) Contrarily, Eshak submitted a credit application to McKesson Pharmaceuticals including a business plan for iLab ("McKesson Business Plan), which stated that the projected/forecasted gross revenue for operating ilab Pharmacy was (1) \$17,111.00 for the first year; (2) \$444,760.00 for the second year; and (3) \$1,974,060.00 in the third year. (Tr. Ex. 8-14, 8-16, 8-18.) To the extent that Plaintiff argues the differences between the projections and evaluations constitute misrepresentations of material facts because the McKesson Business Plan should have been facially identical to, with the exact same economic

fundamentals as the 2014 Business Plan, the Court disagrees.

First, as the Court found in the SOD, the

2014 Business Plan and related drafts were projections and forecasts

prepared and shared between the parties at their respective moments in

time. (See SOD, p.31.) The Court recognized that the subsequent McKesson

Business Plan submittal contained many similar product services as the 2014

Plan such as online pharmacy services, compounding center, and drug delivery.

(Tr. Exs. 1-13, 8-9.) However, under the 2014 Plan drafts, iLab intended to

sell non-specialty medications as well as specialty medications; included 24/7

access to Pharmacists; hospital and retail pharmacy support services; and a

Patient Advocacy Team. (Tr. Ex. 1-6, 1-7, 1-13.) By comparison, under the

McKesson submittal, iLab intended to sell specialty medications only and

provide elderly products, vaccinations, and free disease state management

educational programs. (Tr. Ex. 8-9.) Similarly, the 2014 Plan and McKesson Plan

both named Valley Drug Pharmacy and Desert Drug Pharmacy as competitors as it

relates to specialty medications and compounding prescriptions. (Tr. Exs. 1-14,

8-10.) However, the 2014 Plan took into account other competitors: CVS

Pharmacy, Rite Aid, Walgreen's, and Burns Pharmacy. (Tr. Ex. 1-13, 1-14.) As such, the Court understood that the projections

in the 2014 Plan were not identical to the McKesson Plan submittal, but still decided

that Plaintiff had not demonstrated that the differences constituted misrepresentations of material facts as the business itself and the related business plans, as expected, continued to develop over time.

Even assuming *arguendo*

that the 2014 Plan and McKesson Plan were based on the exact same services, products, and competitors, the Court previously found that the evidence at trial established that the 2014 Plan was collaboratively revised four times by Plaintiff and Eshak. (SOD at 20:26-21:6.) The Court found that Plaintiff could not have justifiably relied on these evaluations and projections, and that Plaintiff's own email to Eshak on July 9, 2014 demonstrates that Plaintiff was aware that there was no guarantee that iLab "would be able to survive, stabilize and eventually succeed." (Id. at 21:8-10.) Further, as indicated in the final SOD, the initial Business Plan drafts were collaborative documents, and not in this Court's view, definitive, inflexible statements upon which Plaintiff could reasonably rely as the basis for a claim of fraud or misrepresentation by drawing comparisons with the subsequent McKesson Plan to obtain a credit line. During oral argument on this motion, Plaintiff asserted that Lan had the "right" to rely on Defendant Eshak's material representations in the 2014 Plan about iLab's prospective viability. However, although Plaintiff

may have had the right to believe whatever he believed, this did not automatically satisfy his obligation demonstrate that he reasonably relied on representations that he, in fact, openly and consistently questioned, and that a reasonable person with Plaintiff's background and experience, under the same circumstances, would certainly have questioned. As stated in the SOD, Plaintiff did not demonstrate justifiable reliance on the 2014 Plan in making a series of investments given that he, an experienced businessman, had ongoing unanswered concerns about ILab financials, yet continued to invest. In short, Plaintiff's unreasonable belief negates his reasonable reliance.

Breach of

Shareholders Agreement and Promissory Note

As to the seventh

cause of action, Plaintiff was awarded a total of \$0.00. (Judgment at ¶7.) This cause of action was based on Plaintiff's allegations that Eshak breached the March 2, 2016 Shareholders Agreement ("SHA") and Promissory Note by (1) failing to transfer his ownership interest to Plaintiff in exchange for payment; and (2) failing to repay a personal loan under a Promissory Note for \$355,000.00 to Plaintiff in exchange for Plaintiff's deposit in the same amount into iLab's capital upon Eshak's termination. (SOD at 43:6-10.)

Establishing a breach of contract claim

“requires a showing of (1) the existence of the contract, (2) plaintiff’s performance or excuse for nonperformance, (3) defendant’s breach, and (4) the resulting damages to the plaintiff.” (D’Arrigo Bros. of California v. United Farmworkers of America (2014) 224 Cal.App.4th 790, 800 (internal quotations omitted).)

Here, Plaintiff asserts, inter alia, that the evidence at trial established that Plaintiff and Eshak entered into the SHA, whereby (i) prior loans by Plaintiff and his sister-in-law to iLab would be converted to Plaintiff’s capital; (ii) Plaintiff would provide further capital into iLab for Plaintiff and his wife in the amount of \$475,000.00 with a deposit of \$355,000.00 of the loan funds as capital contribution for Eshak; and (iii) Plaintiff would pay off the \$420,000.00 in loans to iLab. (Mot. at 6:7-15, 7:7-8.) Plaintiff and his wife deposited a total of \$830,000.00 between March 11, 2016 and July 21, 2016. (Id. at 6:18-27.) Plaintiff also asserts that Eshak waived any objection to the 96 day delay in completing the contributions because Eshak did not sign the Promissory Note and Stock certificates until all the funds had been deposited into iLab’s account; and stipulated that he never sought rescission of the SHA. (Id. at 7:18-8:8.) Moreover, Plaintiff asserts that the debt was knowingly taken off the books of iLab and removed as iLab payables. (Id. at 7:8-16, 8:14-19.)

In opposition,

Eshak asserts that there is nothing in the SHA which provides for conversion of the loans into capital. (Eshak Opp. at 3:3-4.) Furthermore, Eshak contends that the evidence shows Plaintiff did not pay off iLab's \$420,000.00 loan and that iLab actually incurred additional debts including \$640,000.00 to Plaintiff's sister-in-law. (Id. at 3:5-7, 3:24-4:4.) Eshak also argues that Plaintiff concedes that the required additional funding in the sum of \$475,000.00 was not made in accordance with the 45-day deadline and Plaintiff's contention that the SHA was orally modified is expressly contradicted by Eshak's denial of the purported modification and the SHA provisions. (Id. at 4:13-5:8.) Eshak also contends that the \$355,000.00 contribution was not made in accordance with the 45-day deadline. (Id. at 5:9-6:15.)

In Paragraph 12.2

of the SHA, upon his termination, Eshak was required to transfer all his shares in iLab to Plaintiff and his wife as follows:

"If the event

occurs prior to December 31, 2021, the amount of compensation to ESHAK shall be restricted to the shareholders' equity on the [iLab's] balance sheet attributable to the number of shares owned by ESHAK. The compensation shall be paid out to ESHAK within thirty (30) days after the completion of the share

transfer or any other procedure that may prevent the [iLab] from normal operations, whichever is later. If at the time the accumulated net profit made by the [iLab] is less than two (2) times over the total shareholders' capital contribution, the amount of the unpaid loan and the interest identified in Paragraph 5.2.1 shall be deducted from the compensation to pay off the loan owned to [Plaintiff] and [Plaintiff's wife]." (Tr. Ex. 106-4.)

"If the event

occurs after January 1, 2022, the amount of compensation to ESHAK shall be restricted to the shareholders' equity attributable to the number of shares owned by ESHAK. In case the accumulated net profit made by the [iLab] exceeds five (5) times over the total shareholders' capital contribution, the [iLab] shall pay certain bonus to ESHAK

in the two (2) full fiscal years following the year of ESHAK's employment termination. The bonus amount shall be ten (10%) percent of the [iLab's] net profit in the first following year, and five (5%) percent of the [iLab's] net profit in the second following year. The bonus payout date shall be within ninety (90) days after the availability of the [iLab's] financial statements in the corresponding fiscal year." (Tr. Ex. 106-5.)

Essentially,

Eshak's performance under the "Termination" section of the SHA required

Plaintiff to have performed in accordance with his contractual obligations

under Paragraph 5 of the SHA. As mentioned above, the evidence established that

Plaintiff and his wife agreed to: (1) pay off iLab's debt in the sum of

\$420,000.00 (Tr. Ex. 106-2 (¶5.2)); (2) loan Eshak \$355,000.00 (Tr. Ex. 106-2

(¶5.2.1)); and (3) pay \$475,000.00 as capital contributions for iLab within 45

days after executing the SHA (Tr. Ex. 106-2 (¶5.2.2)). Contrary to Plaintiff's

contention, the SHA does not indicate that the \$355,000.00 loan paid (Tr. Ex.

136) was meant to be used by Eshak as capital contribution funds. (Id.) Similarly,

the evidence does not show that Plaintiff ultimately paid the \$420,000 debt

and/or the \$475,000.00 in capital contributions. (Tr. Ex. 134-1.)

Based upon the

evidence, from March 11, 2016 through May 11, 2016, Plaintiff and/or his wife

paid \$240,000.00 to iLab. (Tr. Ex. 134-1.) Subsequently, on June 22, 2016,

Plaintiff and his wife paid \$170,000.00 to iLab. (Id.) Altogether,

Plaintiff and/or his wife paid \$410,000.00 but \$20,000.00 was deducted as a

loan repayment to Plaintiff, leaving a total of \$390,000.00. (Id.) Now,

the funding summary does indicate that Plaintiff's sister-in-law, Yehui Liu

deposited a total of \$440,000.00 from June 23, 2016 through July 21, 2016. (Id.)

To the extent that Plaintiff asserts Ms. Liu's deposits of \$440,000.00 were on

his behalf to satisfy his contractual obligations under the SHA (Mot. at

6:19-21), Plaintiff did not submit any evidence of such arrangement during the trial. The promissory note dated July 25, 2016 for \$860,000.00 merely shows that Ms. Liu gave Plaintiff and his wife another loan not that she assumed responsibility for paying a portion of the \$475,000.00 capital contribution and/or \$355,000.00 loan to Eshak. (Tr. Ex. 135.) In fact, the \$440,000.00 is placed in the column with the initial \$420,000.00 loan for a total of \$860,000.00, which further suggests that it was an additional loan. (Tr. Ex. 134.) Likewise, even if the Court was to construe the \$355,000.00 as a capital contribution and consider that it was part of the \$390,000.00 payment, Plaintiff did not submit any evidence at trial showing that Eshak's shares changed. (Eshak Opp. at 6:3-15.) Plaintiff's reply brief does not address this discrepancy.

The Court

appropriately awarded \$0.00 on the seventh cause of action

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Breach of

Stock Purchase Agreement

In regard to the

eighth and eleventh causes of action, Plaintiff was also awarded a total of

\$0.00. (Judgment at ¶¶8, 11.) These causes of action were based on Plaintiff's

allegations that Eshak defrauded Plaintiff by using funds from the secret account to pay for Eshak's downpayment under the SPA. (SOD at 43:27-44:2, 46:21-27.)

Plaintiff argues

that the evidence established that delivery of \$200,000.00 nonrefundable deposit was a condition precedent to the opening of escrow under the March 12, 2017 Stock Purchase Agreement ("SPA") and prior to any performance owed by Plaintiff. (Mot. at 10:9-27.)

Furthermore, Plaintiff contends that \$130,000.00 out of the \$200,000.00 paid on May 12, 2017 was actually funds stolen from iLab, thus Eshak still owes the \$130,000.00. (Id.)

By contrast, Eshak

contends that evidence at trial showed that Plaintiff did not sign the escrow instructions until June 1, 2017, and his wife did not deliver the stock certificates to escrow within two (2) business days as required under the SPA.

(Eshak Opp. at 6:19-7:8.) Similarly, Eshak asserts that Plaintiff and his wife were required to deposit an executed letter of resignation into escrow within (2) business days as required under the SPA. (Id. at 7:8-17.) Both

Plaintiff and his wife breached these provisions. (Id.) Moreover, Eshak

contends that Plaintiff made his full performance under the SPA impossible by

terminating him on June 13, 2017, albeit agreeing to extend the closing date to July 24, 2017. (Id. at 7:20-27.)

After reviewing

the evidence presented at trial, the Court finds that the award of \$0.00 on the eighth and eleventh causes of action was adequate for the reasons set forth below.

As discussed

above, on May 12, 2017, Plaintiff, his wife, and Eshak entered into the SPA, wherein Plaintiff and his wife agreed to sell their outstanding shares in iLab to Eshak. (Tr. Ex. 280-2 (¶¶A-C).) In return, Eshak agreed to pay Plaintiff and his wife a \$200,000.00 nonrefundable deposit prior to Opening Escrow. (Tr. Ex. 280-3 (¶E(2)).) Plaintiff and his wife also agreed to: (1) open escrow within one (1) business day after the execution of the SPA; (2) deliver to escrow stock certificates representing the shares to be transferred to Eshak within two (2) business days; (3) deliver to escrow their letters of resignations; and (4) deliver to escrow a promissory note dated August 5, 2016 in the amount of \$355,000.00. (Tr. Ex. 280-4 (¶E(5.1).)

Eshak caused two

cashier's checks to be paid to Plaintiff on May 12, 2017 in the amounts of

\$130,000.00 from California Bank Trust and \$70,000.00 from Wells Fargo Bank,

N.A., for a total payment of \$200,000.00. (Tr. Ex. 277.) It is undisputed that

\$130,000 of Eshak's \$200,000.00 deposit to Plaintiff was from stolen iLab

funds. (SOD at 44:5-6; Mot. at 9:27-28; Eshak Opp. at 6:16-7:27 [omits any

discussion as to the nature of the \$130,000.00 paid]; Reply at 8:12-15.) As

such, Eshak breached the SPA by failing to pay \$130,000.00 out of the

\$200,000.00 nonrefundable deposit with good funds.

To the extent that

Plaintiff argues that Eshak's obligation to pay the \$200,000.00 deposit was a

condition precedent not a condition concurrent, "[u]nder the law of contracts,

parties may expressly agree that a right or duty is conditional upon the

occurrence or nonoccurrence of an act or event." (Platt Pacific, Inc. v.

Andelson (1993) 6 Cal.4th 307, 313; see also Civ. Code, § 1436.) "Thus, a

condition precedent is either an act of a party that must be performed or an

uncertain event that must happen before the contractual right accrues or the

contractual duty arises." (Id.) "Conditions concurrent are those which

are mutually dependent, and are to be performed at the same time." (Civ. Code,

§ 1437.) " 'Neither party to such a contract [in which the obligations of the

parties constitute concurrent conditions] can place the other in default unless

he is able to perform or tender performance.' " (Fogarty v. Saathoff

(1982) 128 Cal.App.3d 780, 785.)

“Provisions ‘are

not to be construed as conditions precedent unless such construction is

required by clear, unambiguous language; and particularly so where a forfeiture

would be involved or inequitable consequences would result. [Citations.]’

[Citations.] Because ‘such conditions are not favored by the law, [they] are to

be strictly construed against one seeking to avail [it]self of them.

[Citations.]’ ” (Los Angeles Unified School Dist. v. Torres Construction

Corp. (2020) 57 Cal.App.5th 480, 501–502.) “Instead, whenever possible the

courts will construe promises in a bilateral contract as mutually dependent and

concurrent.” (Rubin v. Fuchs (1969) 1 Cal.3d 50, 54.)

“Generally, a

party’s failure to perform a condition precedent will preclude an action for

breach of contract.” (Richman v. Hartley (2014) 224 Cal.App.4th 1182,

1192.)

Even though the

language used in Paragraph 2 of the SPA tends to indicate that Eshak’s payment

of the \$200,000.00 nonrefundable deposit was a condition precedent (Tr. Ex.

280-3 (¶E(2)), the issue remains that Plaintiff did not act in good faith and

fair dealing at the time the SPA was executed. “Every contract imposes upon

each party a duty of good faith and fair dealing in the performance of the

contract such that neither party shall do anything to unfairly interfere with the right of any other party to receive the benefits of the contract.” (Y.P. v. Wells Fargo Co. (2026) 119 Cal.App.5th 1069, 1084.) “[E]ssentially ‘the implied covenant imposes upon each party the obligation to do everything that the contract presupposes they will do to accomplish its purpose.’ ” (Id.)

If at the time of

the contract, Plaintiff believed the deposit paid by Eshak was legitimate and paid in good faith in accordance with Eshak’s obligations under the SPA, Plaintiff’s obligations to perform under the SPA were necessarily triggered. As shown by the evidence produced at trial, Plaintiff did not perform the obligations required of him under the SPA because he failed to deliver his share transfer documents to escrow within two (2) business days as required.

(SOD at 44:7-11.) In fact, Plaintiff retained his interest in iLab. (Id.)

Therefore, the evidence established that the SPA was voided by mutual material breach. (Id. at 44:11-12.)

Interest

Award

Finally, Plaintiff

contends that he did not receive prejudgment interest under the fourth, fifth, sixth, seventh, eighth, eleventh, twelfth, thirteenth, and fourteenth causes of

action. (Mot. at 11:15-17.) Curiously, the Court adopted the proposed judgment submitted by Plaintiff on June 5, 2026, with minor amendments to Paragraph 25. The Judgment explicitly awarded ten (10) percent interest per annum from April 27, 2017 on the fourth, fifth, sixth, twelfth, thirteenth, and fourteenth causes of action. (Plf. Prop. Judg. (6/5/26) at ¶25a-c; Judgment (6/17/26) at ¶25a-c.) Interest was not awarded for the seventh, eighth, and eleventh causes of action since no monetary damages award was entered as to those causes of action. (SOD at 61:1-6; Plf. Prop. Judg. (6/5/26) at ¶¶7-8, 11; Judgment (6/17/26) at ¶¶7-8, 11.) As such, Plaintiff fails to demonstrate that the Judgment did not include a prejudgment interest award for the causes of action which he prevailed on at trial.

CONCLUSION

Plaintiff's Motion

for New Trial is DENIED.